

Week 5

Product, Services, and Brands: Building Customer Value

Product, Services, and Branding Strategy

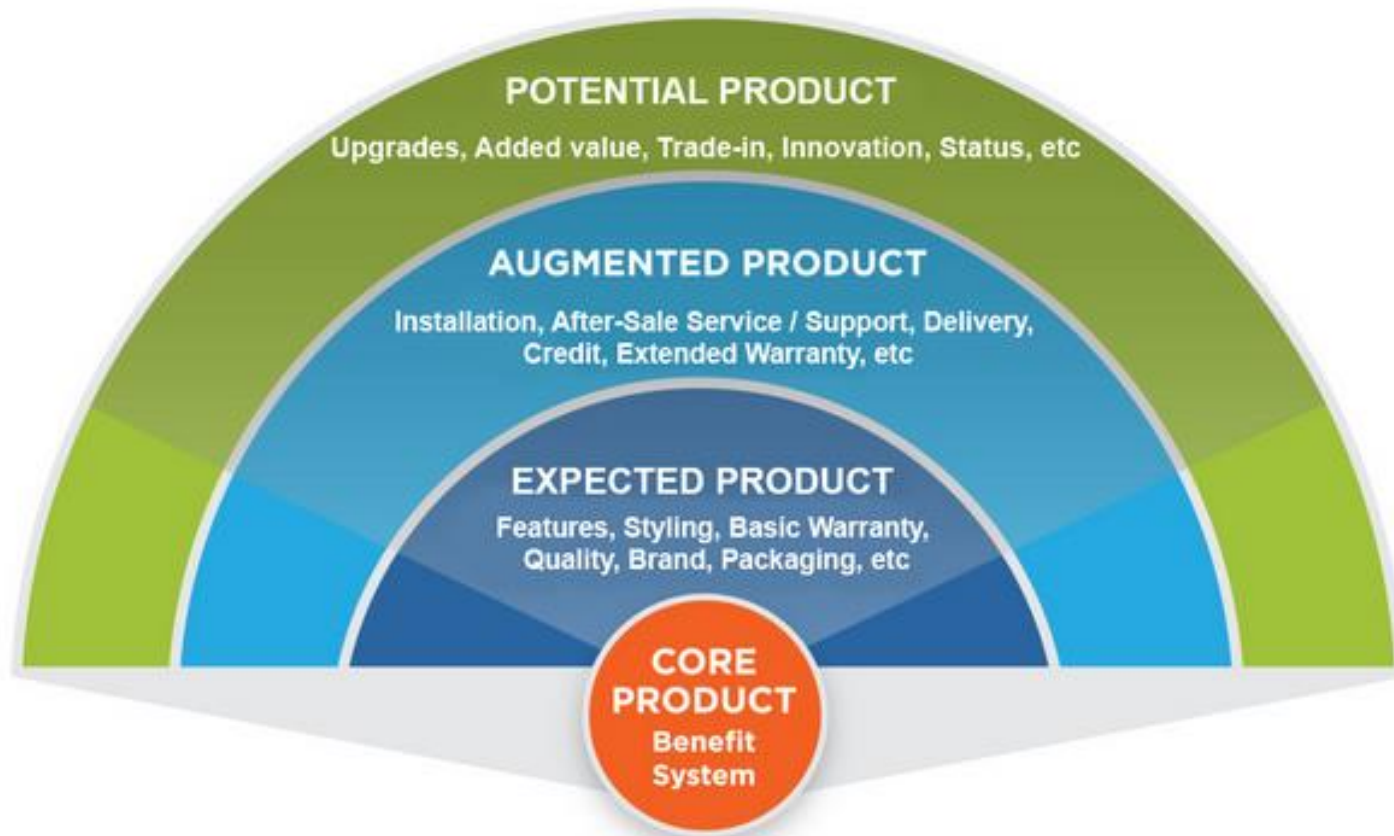
Topic Outline

- Define 'product' and understand different ways to view and analyse products and product attributes
- Describe the product life cycle, new product development and the product adoption process
- Outline how an organisation can differentiate its products to obtain a competitive advantage
- Explain the value of branding and the major issues involved in brand management
- Explain key aspects of product management and positioning through the product life cycle.

What Is a Product?

- **Goods** are physical, tangible offerings that are capable of being delivered to a customer. Because it is tangible, you can see, touch, taste and smell a good
- **Services** are intangible offerings to the market. As they are intangible, a service cannot be touched or tasted and does not involve ownership; instead, you experience a service. Haircuts, legal representation and massages are all examples of services.
- **An idea** can also be offered to the market in the form of a concept, issue or philosophy. Ideas are often the products of community organisations, charities and political parties

What Is a Product?



TOTAL PRODUCT CONCEPT

What Is a Product?

Product and Service Classifications

- Consumer products are products and services for personal consumption
- Classified by how consumers buy them
 - Convenience products
 - Shopping products
 - Specialty products
 - Unsought products

What Is a Product?

Product and Service Classifications

Convenience products

consumer products and services that the customer usually buys frequently, immediately, and with a minimum comparison and buying effort

- Newspapers
- Candy
- Fast food

What Is a Product?

Product and Service Classifications

Shopping products

consumer products and services that the customer compares carefully on suitability, quality, price, and style

- Furniture
- Cars
- Appliances

What Is a Product?

Product and Service Classifications

Specialty products

consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort

- Medical services
- Designer clothes
- High-end electronics

What Is a Product?

Product and Service Classifications

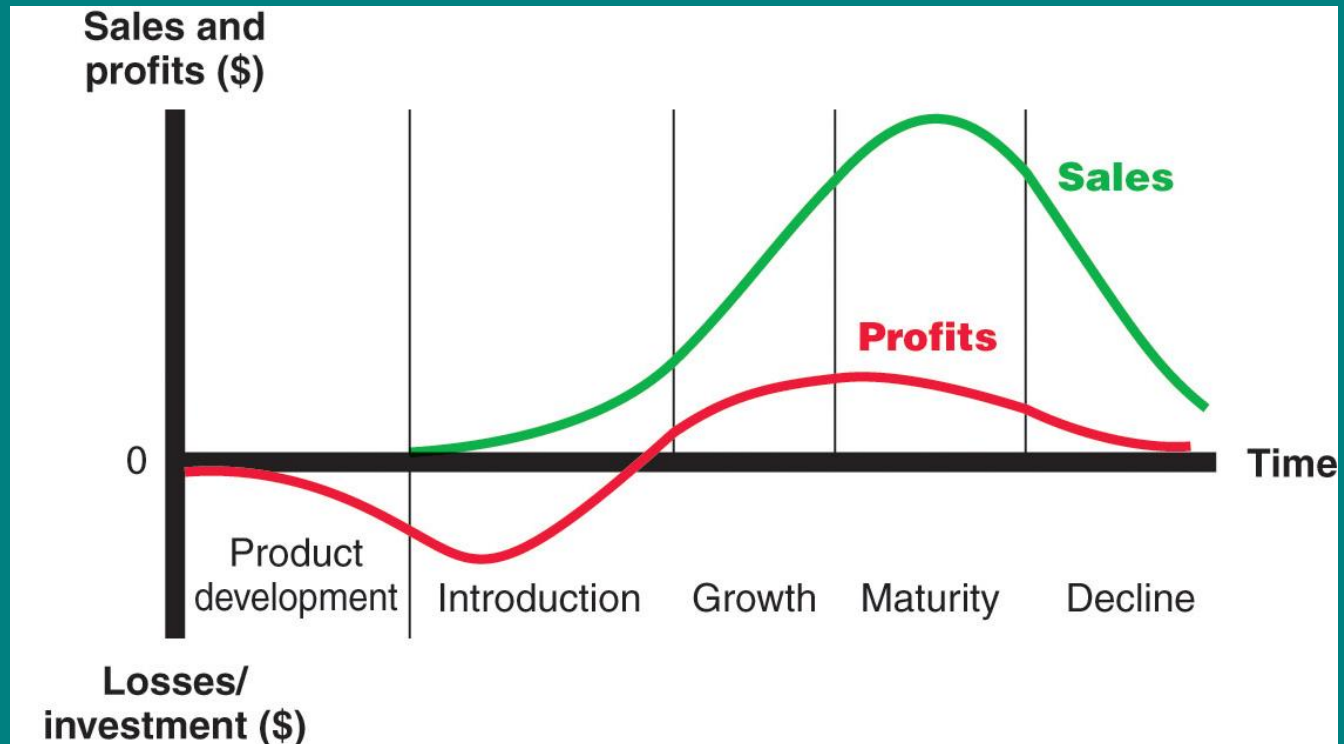
Unsought products

consumer products that the consumer does not know about or knows about but does not normally think of buying

- Life insurance
- Funeral services
- Blood donations

Product Life-Cycle Strategies

Product Life Cycle



Product Life-Cycle Strategies

- Product development
 - Sales are zero and investment costs mount
- Introduction
 - Slow sales growth and profits are nonexistent
- Growth
 - Rapid market acceptance and increasing profits
- Maturity
 - Slowdown in sales growth and profits level off or decline
- Decline
 - Sales fall off and profits drop

Product Life-Cycle Strategies

Introduction Stage

- Slow sales growth
- Little or no profit
- High distribution and promotion expense

Product Life-Cycle Strategies

Growth Stage

- Sales increase
- New competitors enter the market
- Price stability or decline to increase volume
- Consumer education
- Profits increase
- Promotion and manufacturing costs gain economies of scale

Product Life-Cycle Strategies

Maturity Stage

- Slowdown in sales
- Many suppliers
- Substitute products
- Overcapacity leads to competition
- Increased promotion and R&D to support sales and profits

Product Life-Cycle Strategies

Maturity Stage Modifying Strategies

- Market modifying
- Product modifying
- Marketing mix modifying

The screenshot shows the GLAD Press'n Seal website. At the top, there's a navigation bar with links: Home, Search, Tip Guidelines, Official Rules, and Tell a Friend. The main headline reads "1000s of Uses. What's yours?". Below this, a "How to get started:" section lists three steps: 1. Have a Look (Explore all of the creative ways people are using GLAD® Press'n Seal® wrap), 2. Leave a Tip (Grab a sheet from the upper right corner and stick it on the place you use it), and 3. Try your Luck (You can enter once a day for a shot at our \$1,000 monthly drawing). To the right of the text is a large image of a kitchen with yellow balloons. A "Tip'n Win" badge in the top right corner says "Enter here for a chance to WIN \$1000" and "PULL & DRAG TO LEAVE A TIP". Below the main content, there are four columns of categories: Indoors (Kitchen, Living Room, Dining Room, Garage/Work Room, Office, Bathroom, Bedroom, Kid's Stuff), Outdoors (Patio/BBQ, Pool/Play Area, Garden, Park, Pets), On the Go (Travel, Camping, Boat/Beach, Sports), and Special Occasions (Entertaining, Holidays, Home Remodeling, Arts & Crafts). At the bottom, a "Monthly Winners" section lists winners for January (Irene C., Valley Stream, NY), February (Cynthia P., Mooresville, IN), and March (Will you be next? Enter for your chance to WIN \$1000).



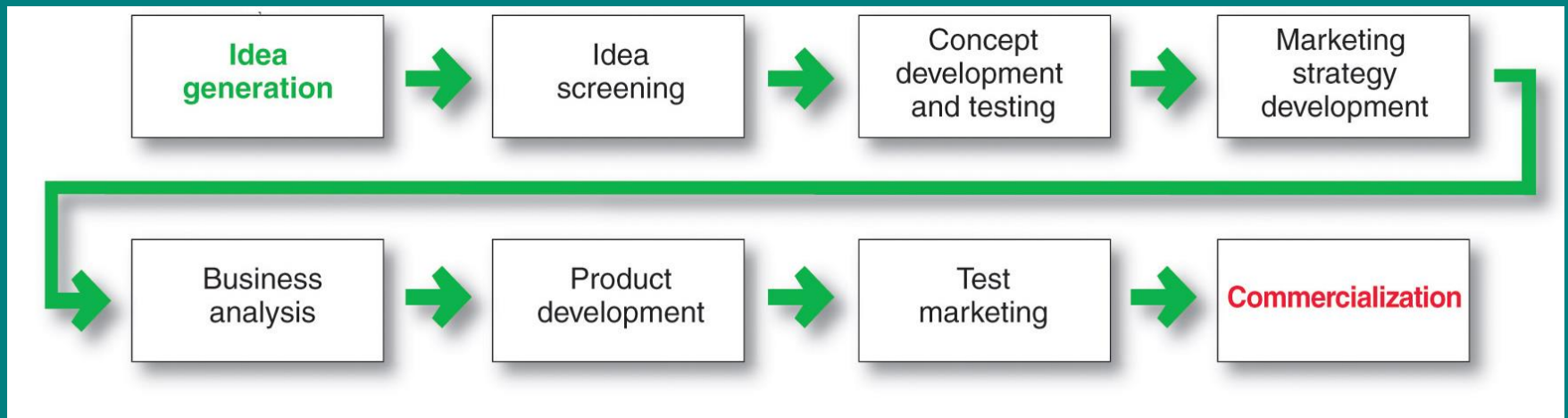
Product Life-Cycle Strategies

Decline Stage

- Maintain the product
- Harvest the product
- Drop the product

New-Product Development Process

Major Stages in New-Product Development



New-Product Development Process

Idea Generation

Internal sources refer to the company's own formal research and development, management and staff, and intrapreneurial programs

External sources refer to sources outside the company such as customers, competitors, distributors, suppliers, and outside design firms



New-Product Development Process

Crowdsourcing

Inviting broad communities of people—customers, employees, independent scientists and researchers, and even the public at large—into the new-product innovation process.

New-Product Development Process

Idea Screening

- Identify good ideas and drop poor ideas
- R-W-W Screening Framework:
 - Is it **real**?
 - Can we **win**?
 - Is it **worth** doing?

New-Product Development Process

Concept Development and Testing

Product idea is an idea for a possible product that the company can see itself offering to the market

Product concept is a detailed version of the idea stated in meaningful consumer terms

Product image is the way consumers perceive an actual or potential product

New-Product Development Process

Concept Development and Testing

Concept testing refers to testing new-product concepts with groups of target consumers



New-Product Development Process

Marketing Strategy Development

- Marketing strategy development refers to the initial marketing strategy for introducing the product to the market
- Marketing strategy statement includes:
 - Description of the target market
 - Value proposition
 - Sales and profit goals

New-Product Development Process

Marketing Strategy Development

Business analysis involves a review of the sales, costs, and profit projections to find out whether they satisfy the company's objectives

New-Product Development Process

Marketing Strategy Development

Product development

- Involves the creation and testing of one or more physical versions by the R&D or engineering departments
- Requires an increase in investment
- Shows whether the product idea can be turned into a workable product.



New-Product Development Process

Marketing Strategy Development

Test marketing is the stage at which the product and marketing program are introduced into more realistic marketing settings

Provides the marketer with experience in testing the product and entire marketing program before full introduction



New-Product Development Process

Marketing Strategy Development

When firms test market

- New product with large investment
- Uncertainty about product or marketing program

When firms may not test market

- Simple line extension
- Copy of competitor product
- Low costs
- Management confidence

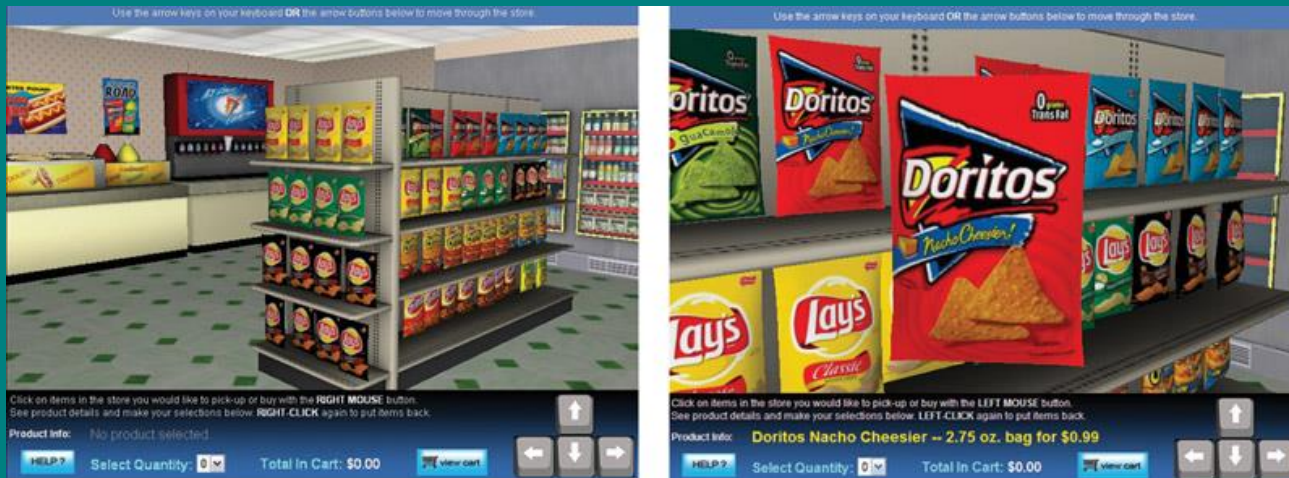
New-Product Development Process

Types of Test Markets

Standard test markets

Controlled test markets

Simulated test markets



New-Product Development Process

Marketing Strategy Development

- Advantages of simulated test markets
 - Less expensive than other test methods
 - Faster
 - Restricts access by competitors
- Disadvantages
 - Not considered as reliable and accurate due to the controlled setting

New-Product Development Process

Marketing Strategy Development

Commercialization is the introduction of the new product

- When to launch
- Where to launch
- Planned market rollout



Product and Service Decisions

Product Line Decisions

Product line is a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same types of outlets, or fall within given price ranges

Apple-product line

iMac

Macbook Air



Macbook Pro



iMac



Mac mini
Mac Pro

iPod

iPod shuffle



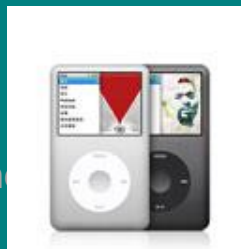
iPod nano



iPod touch



iPod classic



iPhone

iPhone 1, 2,3,4

iPhone 5 5s 5c

iPhone 11



iPhone 11 pro

iPhone 11 max

iPad

iPad1, 2, 3
iPad Retina

iPad Air



iPad mini
iPad pro



Product and Services Decisions

Product Mix Decisions

- ***width*** refers to the number of different product lines the company carries.
- ***length*** refers to the total number of items the company carries within its product lines.
- ***depth*** refers to the number of versions offered of each product in the line.
- ***consistency*** refers to how closely related the various product lines are in end use, production requirements, distribution channels, or some other way.

P&G

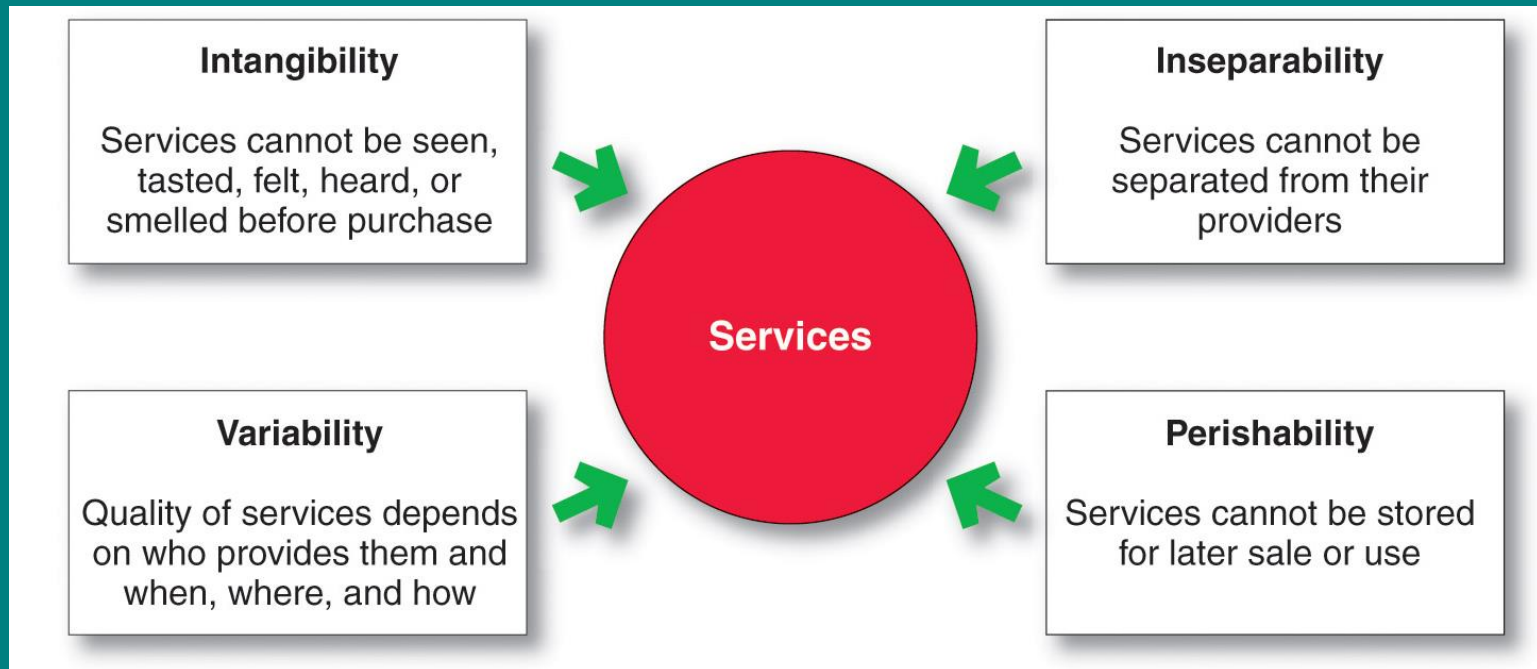
- Skincare : OLAY, SK-II, Oceana(海肌源)
- Laundry detergent: Tide(汰渍), Ariel(碧浪)
- Hand soap: Safeguard(舒肤佳)
- Hair care: Pantene(潘婷), Rejoice(飘柔), Head & Shoulders(海飞丝), VS(沙宣), Clairol (伊卡璐), Clairol professional(伊卡璐丝焕), Wella(威娜), Sebastian(塞巴斯汀)
- Shaving: Gillette(吉列), Braun(博朗)
- Body wash: Camay(卡玫尔)
- Toothpaste: Crest(佳洁士), Oral-B(欧乐-B)
- Sanitary pads: 朵朵, Whisper(护舒宝)
- Diapers : Pampers(帮宝适)
- Cell : Duracell(金霸王)

Width?
Length?
Depth?
Consistency?



Services Marketing

Nature and Characteristics of a Service



No two restaurants are identity, but do you really want to make a lot of effort to reduce variability?

呷哺呷哺

—— 品质源自坚持 ——

关于海底捞

海底捞美食

服务中心



投资者关系

加入海底捞

海底捞会员

部分门店设有儿童游乐园，并有专人陪护

为女性顾客准备的免费美甲（工作日）和手护（节假日）

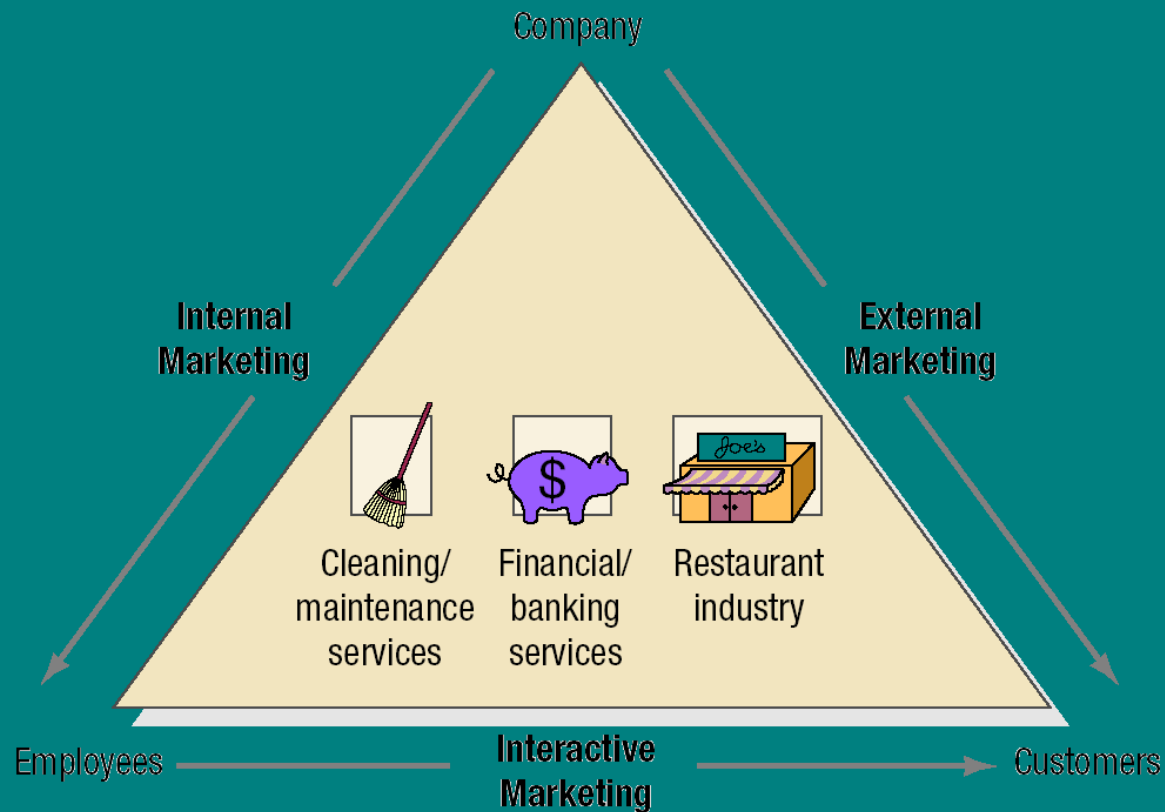
等座期间为顾客准备各种零食、水果、游戏

免费照片打印



交流是人与人之间传递的刚需，而来自中国的火锅是天生的社交餐饮。海底捞致力于让更多人在餐桌敞开心扉，吃的开心，打造全球年轻人都喜爱能够参与的餐桌社交文化。

People- Three Types of Marketing in Service Industries



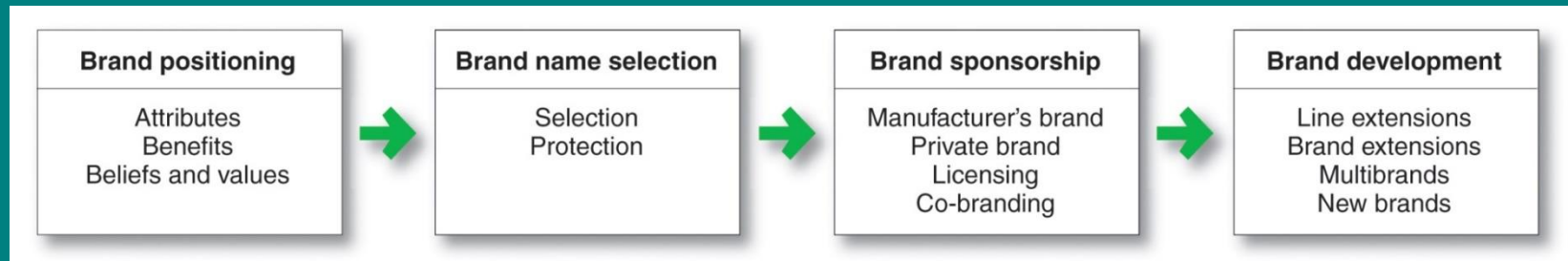
Branding Strategy: Building Strong Brands

Brand is the name, term, sign, or design—or a combination of these—that identifies the maker or seller of a product or service

Brand equity is the differential effect that the brand name has on customer response to the product and its marketing



Branding Strategy: Building Strong Brands



Branding Strategy: Building Strong Brands

Brand Positioning

Brand strategy decisions include:

- Product attributes
- Product benefits
- Product beliefs and values



Positioning via brand benefits

- **Functional needs**, which attempts to provide solutions to customers' current consumption-related problems, or potential problems, by communicating the specific benefits capable of solving their problems that the brand possesses.
- **Symbolic needs** includes those directed at consumers' desire for self-enhancement, group membership, affiliation and belongingness. Here, brand positioning attempts to associate brand use with a desired group, role or self-image. Marketers of brands in categories such as personal beauty products, jewellery, and motor vehicles frequently appeal to symbolic needs.
- **Experiential needs** represent consumer's desires for products that provide sensory pleasure, variety and, in a few circumstances, cognitive stimulation. Positioning directed at experiential needs promotes brands being out of the ordinary and high in sensory value

Branding Strategy: Building Strong Brands

Brand Name Selection

Desirable qualities

1. Suggest benefits and qualities
2. Easy to pronounce, recognize, and remember
3. Distinctive
4. Extendable
5. Translatable for the global economy
6. Capable of registration and legal protection

Branding Strategy: Building Strong Brands

Brand Sponsorship

- Manufacturer's brand (national brand)
- Private brand (store brand or distributor brand)
- Licensed brand(name of well-known celebrities , characters from popular movies and books)
- Co-brand occurs when two established brand names are used on the same product



Branding Strategy: Building Strong Brands

Brand Sponsorship

- The combined brands create broader consumer appeal and greater brand equity.
- Cobranding also allows a company to expand its existing brand into a category it might otherwise have difficulty



Branding Strategy: Building Strong Brands

Brand Development Strategies

		Product category	
		Existing	New
Brand name	Existing	Line extension	Brand extension
	New	Multibrands	New brands

Branding Strategy: Building Strong Brands

Brand Development

- **Line Extensions** occur when a company extends existing brand names to new forms, colors, sizes, ingredients, or flavors of an **existing product category**.
- **Brand Extensions** extend a current brand name to new or modified **products in a new category**.
- **Multibranding** introduces additional brands **in the same category**.
- **New Brands**. A new category

Tutorial A



Activity

Total Product Concept Application

Background: In this activity you will reinforce knowledge of the total product concept.

Task: Work in pairs and collaboratively;

1. Select one product item (tangible) that is currently near you (you must have access to)
2. Identify the total product concept (in detail). Use the below TPC framework to complete this point.
3. You will be expected to showcase this product to the rest of your class peers and tutor.

>> Prepare to share your responses

Duration: 20 minutes

Resources: E-device to access your Canvas course and take notes! ✓

[TPC framework.docx](#) 

On the spot application - Comprehensive

Background:

On the spot applications help stimulate and develop your conceptual thought process by training your mind to think and respond with efficiency. In this activity you will consider all aspects of this week's module into addressing the given questions and practice justifying your responses (*Tip: Final exam short answer questions will require justifications of responses*).

Task:

Watch the Harley Davidson videos (*located in the 'prepare to engage' page*) then answer the below questions;

1. Harley Davidson's effort to expand its customer base by marketing its motorcycles and accessories to women and young riders is an example of repositioning. Do you agree? Why, why not?
2. Harley Davidson evokes images of carefree, rebellious, even lawless riders wearing long beards and leather vests, cruising across the country while living by their own rules'. Do you think this exemplifies the company's 'position' or 'segmentation'? Justify your answer.
3. List the brand strategies. Identify which of the brand strategies you think Harley Davidson implements? Justify your answer.

>> Be prepared to share your responses.



Duration:

40 minutes

Resources:

E-device to access your Canvas course and take notes! ✓

Tutorial B

Working on your assignment - Total Product Concept

Background: In this activity you and your group members will work on determining a complete application of the total product concept for your Kickstarter product.

Task: Work with your group and collaboratively;

1. Determine the 'total product concept' for your assigned Kickstarter product. Be as explicit as possible.
2. Illustrate / support each category with visual aid where possible. *(Tip: you can borrow images, clips from the Kickstarter site, modify, and / or create your own) - make sure to cite any borrowed image(s).*

- Share your responses with your class tutor for feedback
- Go to your Canvas Group Page and create a new discussion titled "TOTAL PRODUCT CONCEPT".
- Post / upload this into your Canvas group page > discussions, once you have finalised all edits.

Duration: 35 minutes

E-device to access your Canvas course and take notes! 

Resources:

[TPC framework.docx](#)



Tutorial B

Working on your assignment - Product Classification

Background: In this activity you and your group members will work on determining the product classification for your Kickstarter product as it relates to your pre-determined market position.

Task: Work with your group and collaboratively;

1. Determine the product classification for your assigned Kickstarter product. Justify why.
2. Consider your market positioning from week 4 and justify how your product classification correlates.

- Share your responses with your class tutor for feedback
- Go to your Canvas Group Page and create a new discussion titled "MARKET POSITIONING".
- Post / upload this into your Canvas group page > discussions, once you have finalised all edits.

Duration: 15 minutes

E-device to access your Canvas course and take notes! ✓

Resources:

[Tut3B Consumer Behaviour.docx](#) ↓